UNIT III – Corporate Culture

23AS2701a · Business Ethics & Corporate Governance · JNTUA R23 B.Tech · Management Course-II

Learning outcomes

- Define corporate culture
- Understand its key elements
- Analyse organisation leadership & corporate culture

1. Introduction

- Every firm has a **personality** → "the way we do things here"
- Two firms, same industry, same tech → behave very differently = **culture**
- Culture is **invisible** but felt: dress, language, decisions, how bosses treat staff
- Also called **organisational culture** / **corporate culture** (used interchangeably)
- Links to ethics: culture decides whether ethics is **lived** or only **written** (Enron, Satyam vs Tata)

2. Meaning & Definitions

Corporate culture = shared values, beliefs, norms, symbols & behaviour patterns that guide how members of an organisation think, feel and act.

Author	Definition (key idea)
Edgar Schein	Pattern of shared **basic assumptions** learned by a group while solving problems of external adaptation & internal integration; taught to new members as the correct way
Geert Hofstede	"Collective **programming of the mind** that distinguishes members of one organisation from another"
Deal & Kennedy (1982)	"The way things get done around here" (book: Corporate Cultures)
O'Reilly	System of shared values defining what is important + norms defining appropriate attitudes & behaviours

- Mnemonic for definition words: **V-B-N-S-L** = Values, Beliefs, Norms, Symbols, Language

3. Nature / Characteristics

- **Shared** → common to most members, not personal
- **Learned** → acquired by socialisation, not inherited
- **Intangible & implicit** → unwritten rules
- **Relatively stable** → changes slowly, takes years
- **Holistic** → covers structure, people, systems, behaviour
- **Symbolic** → expressed through stories, logos, rituals
- **Distinctive** → separates one firm from another
- **Dynamic** → evolves with leaders, markets, technology
- **Multi-level** → organisation culture + sub-cultures (dept, region)
- **Prescriptive** → tells people what is right/wrong
- Sub-culture = e.g. R&D (creative, loose) vs Finance (rule-bound) inside same firm
- Counter-culture = group that rejects the core values

4. Significance / Functions

Function	How it helps
Identity	Gives members a sense of "who we are" → pride (Tata = trust)
Commitment	Loyalty bigger than self-interest → low attrition
Social glue	Binds diverse people (language, region) together
Control	Informal guide of behaviour; cheaper than rules & supervision
Sense-making	Shows how to interpret events, take decisions
Performance	Aligns effort to strategy → productivity, quality
Employer brand	Attracts talent (Google, Infosys "best places to work")
Stability	Social system equilibrium; reduces ambiguity

★ Important

- Remember: **I-C-G-C-P-E** = Identity, Commitment, Glue, Control, Performance, Employer brand
- Dysfunction: barrier to change, to diversity, to mergers

5. Schein's Three Levels of Culture

- Culture has **3 layers** – like an iceberg: top visible, bulk hidden

Level	Meaning	Example
1 Artifacts	Visible structures, behaviour, symbols	Google's playful campus, Tata logo, Infosys campus
2 Espoused values	Stated strategies, goals, philosophies	Tata "Leadership with Trust"; Toyota "Respect for people"
3 Basic assumptions	Unconscious, taken for granted; drive behaviour	"Customer is God"; "Quality can never be compromised"

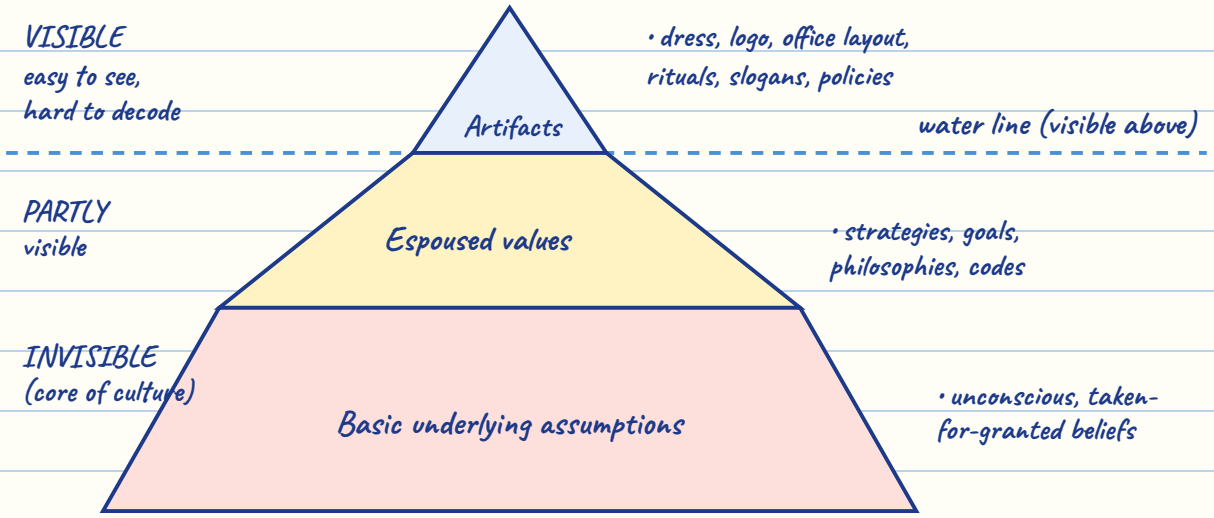


Fig 1: Schein's iceberg model of corporate culture

- Gap between espoused values & assumptions = **hypocrisy** (Enron's "Integrity" code vs real greed)

6. Key Elements of Corporate Culture

(a) Shared values

- Core principles of what is important → guide decisions
- Infosys **C-LIFE**: Client value, Leadership by example, Integrity, Fairness, Excellence
- Tata: integrity, responsibility, pioneering, excellence, unity

(b) Beliefs

- Convictions about "what is true" → e.g. people are the best asset; failure is a step to learning
- Google believes in "10x" thinking; Toyota believes in **kaizen** (continuous improvement)

(c) Norms

- Unwritten rules of acceptable behaviour (punctuality, openness, formal address)
- Zappos: norm of fun & "weirdness"; Toyota: andon cord – anyone may stop the line

(d) Rituals & ceremonies

- **Rituals** = repeated routines (morning huddle, Friday TGIF at Google)
- **Ceremonies** = special events: awards, Founder's day, long-service awards
- Tata: Founders' Day, JN Tata anniversary; Infosys: Spot awards

(e) Symbols

- Logos, buildings, uniforms, Tata "T", Google doodle, corner-office vs open-plan

(f) Language & jargon

- Special words show belonging: Googlers/Noogler; Infosys "Infoscions"; Tata "Tata-ites"; TCS "ignite"

(g) Stories, heroes, taboos, dress code, layout

- **Stories**: J.R.D. Tata's ethics; Narayana Murthy's integrity tale
- **Heroes**: founders / role models; **Taboos**: forbidden acts (bribery, bullying)
- **Dress code** (formal bank vs jeans-T-shirt start-up); **physical layout** (open office, no cabins)

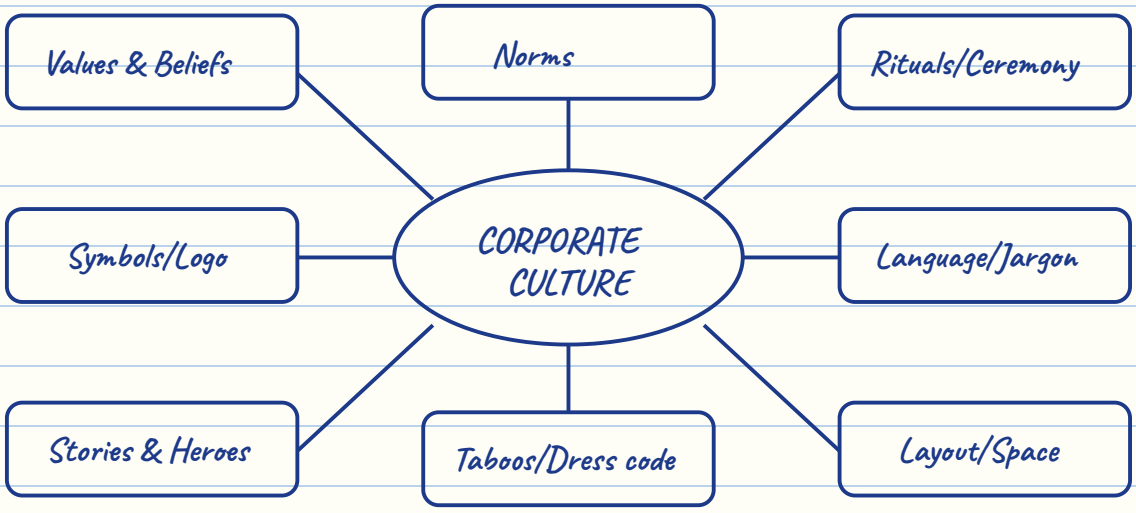


Fig 2: Key elements (building blocks) of corporate culture

7. Types of Corporate Culture

7.1 Cameron & Quinn – Competing Values Framework (CVF)

- Two axes: **Flexibility ↔ Control** (vertical) and **Internal ↔ External focus** (horizontal)
- Tool: OCAI (Organisational Culture Assessment Instrument)

FLEXIBLE & discretion	**CLAN (Collaborate)** family, loyalty, teamwork leader = mentor/parent	**ADHOCRACY (Create)** innovation, risk, agility Google, 3M
STABLE & control	**HIERARCHY (Control)** rules, SOPs, efficiency Govt, banks, army	**MARKET (Compete)** targets, winning, share GE, Amazon

INTERNAL focus & integration EXTERNAL focus & differentiation

Fig 3: Competing Values Framework (Cameron & Quinn)

Type	Focus	Glue / Success	Risk
Clan	People, internal	Loyalty, commitment; morale	Groupthink, slow decisions
Adhocracy	Innovation, external	Experimentation; new products	Chaos, burnout, failures
Market	Results, external	Winning; market share	Stress, short-termism
Hierarchy	Control, internal	Rules; smooth, efficient	Rigid, bureaucratic

7.2 Hierarchical culture

- Formal, **structured**, rules & SOPs; clear chain of command (scalar principle)
- Decisions top → down; roles & job descriptions fixed; seniority respected
- Values: **stability, predictability, efficiency, order**
- Examples: government depts, PSU banks (SBI), military, Indian Railways, large utilities

Merits	Demerits
Clarity of roles & authority	Slow decisions, red tape
Consistency, low errors	Kills creativity & initiative
Good for large/regulated work	Resistance to change
Accountability easy to fix	Low morale at lower levels

7.3 Market-driven culture (result-oriented)

- Focus on **external** environment: customers, competitors, market share
- Values: **achievement, competitiveness, targets, profit**; "winning" is key
- Performance-linked pay, incentives, ranking; transactions over relationships
- Leaders: tough, demanding, goal-driven producers
- Examples: Amazon, GE (Jack Welch's "rank & yank"), sales firms, FMCG (HUL), pharma sales

- **Merits**: high productivity, customer focus, quick action
- **Demerits**: cut-throat, stress, unethical shortcuts (Wells Fargo fake accounts), low loyalty

> ★ **Important**
> - Hierarchy = **control** + internal; Market = **control** + external (both "stable" side of CVF)
> - Be ready to draw the 2×2 CVF in 10-mark answers

7.4 Deal & Kennedy's typology (risk × feedback speed)

	FAST feedback	SLOW feedback
HIGH RISK	**TOUGH-GUY MACHO** high risk, fast feedback stock brokers, surgeons, sports	**BET-YOUR-COMPANY** high risk, slow feedback oil, aerospace, Boeing, ISRO
LOW RISK	**WORK HARD–PLAY HARD** low risk, fast feedback sales: McDonald's, Amazon, retail	**PROCESS CULTURE** low risk, slow feedback banks, insurance, govt

Fig 4: Deal & Kennedy's four culture types

7.5 Handy's four cultures (Charles Handy – "Gods of Management")

Culture	God	Features	Example
Power	Zeus	Central power source, personal control, quick	Family business, start-ups
Role	Apollo	Rules, job roles, procedures	Govt, bureaucracy
Task	Athena	Teams solve problems; expertise	Consulting, project firms
Person	Dionysus	Individual is central; org serves people	Law/medical partnerships, universities

7.6 Other classifications

Strong culture	**Weak culture**
Values widely shared & intensely held High agreement, low turnover Predictable behaviour (Tata, Toyota)	Few shared values; many sub-cultures Rules & supervision needed Confusion, high attrition
Ethical culture	**Unethical culture**
Integrity, transparency, code enforced Whistle-blowers protected Leaders model ethics (Tata, Infosys)	Results at any cost, secrecy, fear Ethics only on paper Enron, Satyam, Volkswagen "dieselgate"

- Strong ≠ always good: strong **wrong** culture is dangerous (Enron)

8. How Culture is Created, Sustained & Learned

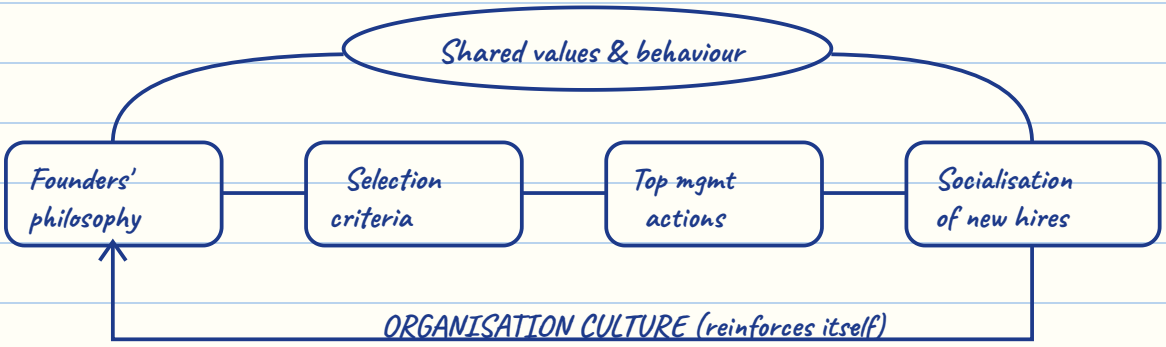


Fig 5: Creation and sustenance of culture (Robbins)

Creation

- **Founder's vision** → hires like-minded people → they share & internalise → culture forms
- Examples: Jamsetji Tata (nation-building, labour welfare), N.R. Narayana Murthy (transparency, merit), Tony Hsieh (Zappos "deliver happiness")

Maintenance (3 forces)

- **Selection**: hire for culture fit (Zappos pays new hires to quit if misfit!)
- **Top management**: what they say & do sets norms
- **Socialisation**: orientation, mentors, training, stories

How employees learn culture

- **Stories** · **Rituals** · **Material symbols** · **Language** · role-modelling · rewards · induction
- Socialisation stages: **pre-arrival** → **encounter** → **metamorphosis**

9. Culture and Performance

- Kotter & Heskett (1992, 11 yrs, 200+ firms) → **adaptive** cultures earned 4× revenue growth, 12× stock price vs others
- Strong + **fit with strategy** + **adaptive** = superior performance
- Positive: motivation, alignment, quality (Toyota Way), customer service (Ritz-Carlton)
- Negative: inertia, groupthink, resistance (Kodak, Nokia)
- Culture eats strategy for breakfast – (attributed to Peter Drucker)

10. Organisation Leadership & Corporate Culture

- **Leadership** = influencing people to achieve shared goals

- Schein: "**Leaders create culture, then culture shapes leaders**" – two sides of one coin
- Leaders = culture **creators, embedders, changers** and role models

Schein's embedding mechanisms

Primary (powerful)	Secondary (articulate/reinforce)
1. What leaders **pay attention to**, measure, control 2. Reaction to **crises** 3. Role modelling, coaching 4. Criteria for **rewards & status** 5. Criteria for recruitment, promotion, **dismissal**	1. Organisation design & structure 2. Systems & procedures 3. Facilities / physical space 4. Stories, legends, myths 5. Formal statements – creed, charter

★ Important

- Primary = what leaders actually **do** > Secondary = what they **say**

II. Leadership Styles & Impact on Culture

Lewin's leadership studies (Kurt Lewin, 1939, Iowa)

- Three styles: **Autocratic, Democratic, Laissez-faire** (tested on boys' clubs)
- Finding: democratic → best satisfaction & quality; autocratic → high output but hostility; laissez-faire → low output, confusion

Style	Features	Culture created
Autocratic	Leader decides alone, strict control	Hierarchical, fear, low trust, dependent
Democratic / participative	Consults team, shared decisions	Open, collaborative, clan-like, high commitment
Laissez-faire	Hands-off, full freedom	Autonomy for experts but drift, no direction
Transactional	Rewards-for-performance, rules, exceptions	Market/role culture; target-driven, short-term
Transformational	Vision, inspires, develops people	Innovative, change-ready, purpose-driven
Servant (Greenleaf)	Serves followers first, empathy	Caring, trust, ethical, high retention (Southwest, Tata trusts)
Charismatic (Weber, House)	Personal magnetism, bold vision	Devoted, dependent on leader; succession risk (Steve Jobs at Apple)

12. Transformational Leadership & Culture

- Concept: **J.M. Burns** (1978) "Leadership"; extended by **Bernard Bass** (1985)
- Leader raises followers' motivation & morality beyond self-interest → org change
- Examples: Satya Nadella, Ratan Tata, Elon Musk, Narayana Murthy, Mahatma Gandhi

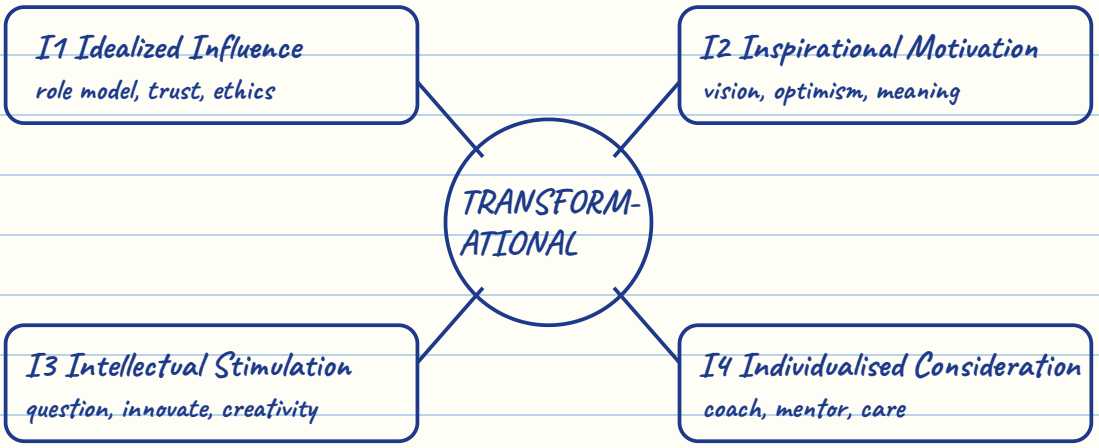


Fig 6: The Four I's of transformational leadership (Bass)

Basis	Transformational	Transactional
Approach	Inspire, change status quo	Exchange: reward for work
Focus	Vision, long-term, people	Tasks, short-term, targets
Motivation	Intrinsic, higher-order needs	Extrinsic: pay, penalty
Followers	Empowered, creative	Compliant
Culture	Adaptive, innovative	Stable, rule-based
Suitable in	Crisis, change, growth	Stable, routine operations

- Transformational leaders change culture by: **articulating vision → role modelling → empowering → reframing values → celebrating wins**

13. Culture Change

Why change?

- Market/tech disruption, poor performance, new strategy, mergers, new CEO, scandal, globalisation

Resistance to culture change

- Fear of loss of power/job · habit · comfort with old values · lack of trust · sub-culture loyalty · past success ("Why fix what isn't broken?")

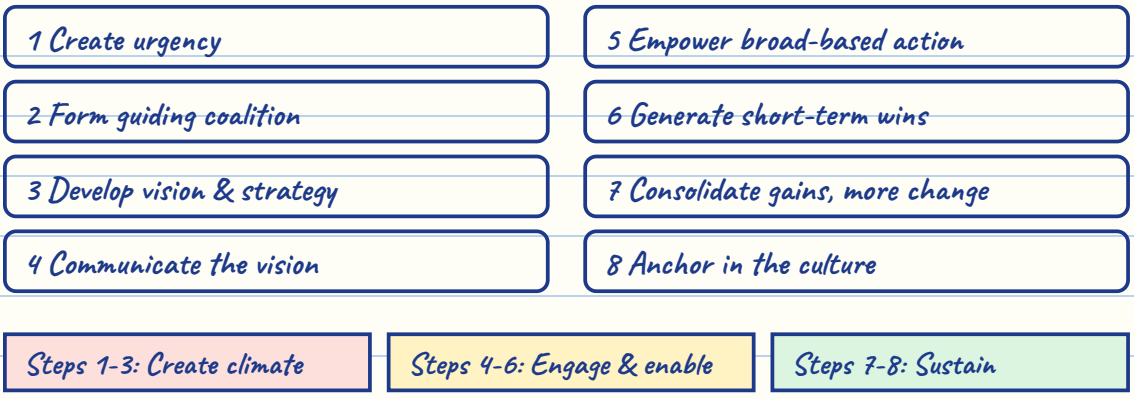
Lewin's 3-step model (Unfreeze – Change – Refreeze)

Force-field: driving forces vs restraining forces



Fig 7: Lewin's change model

Kotter's 8-step model (John Kotter, 1995 HBR, Leading Change)



Mnemonic: "U-C-V-C-E-W-C-A" → Urgency, Coalition, Vision, Communicate, Empower, Wins, Consolidate, Anchor

Fig 8: Kotter's eight-step change process

Steps for culture change (practical)

1. Diagnose current culture (**culture audit**) & define desired culture
2. Top-management commitment; new vision/values statement
3. Change leaders / symbols / structure / reward system
4. Train & communicate; involve employees; manage resistance
5. Hire/promote culture carriers; remove misfits
6. Reinforce & monitor; re-audit

Examples of culture change

Case	What changed
Microsoft – Satya Nadella (CEO 2014)	From "know-it-all" to "**learn-it-all**"; growth mindset (Carol Dweck); cloud-first, collaboration; ended stack-ranking → revenue & market value soared
Tata Steel	Safety & ethics culture; 1990s Russi Mody-era "Tata Steel 2000" restructuring & ethical, welfare-based "Tata Way"; "Zero Harm" safety focus
Indian Railways	From rule-bound bureaucracy → customer service, digital (IRCTC e-ticketing, Rail Madad), safety & cleanliness focus, Vande Bharat

14. Culture Audit

- **Culture audit** = systematic assessment of existing values, norms, behaviour vs desired culture
- Methods: **surveys** (OCAI), interviews, focus groups, observation, document analysis, exit interviews
- Steps: set purpose → collect data → analyse gaps (as-is vs to-be) → report → action plan
- Uses: before change, merger, ethics programme; detects toxic sub-cultures

15. Merging Cultures

- Most mergers fail (≈ 60-70%) due to **culture clash**, not finance
- Four acculturation modes (Berry/Nahavandi & Malekzadeh): **integration, assimilation, separation, deculturation**
- **DaimlerChrysler** (1998 "merger of equals", $36bn): German formal, hierarchical, engineering-led vs American informal, cost & marketing-led; pay gap, decision styles → talent exodus; Daimler sold Chrysler in 2007 (Cerberus)
- Indian cases: **Tata–Corus** (2007, integration problems), **Tata–Jaguar Land Rover** (success: autonomy retained), Daiichi–Ranbaxy (2008)
- Remedies: culture due diligence, joint integration team, clear communication, retain talent, blend best of both

Quick Revision & Likely Exam Questions

Quick revision capsules

- Culture = shared V-B-N-S-L; Schein 3 levels: **Artifacts / Espoused values / Basic assumptions**
- CVF: **Clan, Adhocracy, Market, Hierarchy** / D&K: **Macho, Work-play, Bet-company, Process** / Handy: **Power, Role, Task, Person**
- Functions: Identity, Commitment, Glue, Control, Performance, Brand
- Culture maintained by: **Selection, Top mgmt, Socialisation**
- Styles: Lewin (Auto, Demo, Laissez) + Transactional, Transformational, Servant, Charismatic
- Bass 4 I's: **Influence, Inspiration, Intellect, Individual care**
- Kotter 8 steps; Lewin **Unfreeze-Change-Refreeze**

2-mark questions

1. Define corporate culture (any two authors).
2. What are artifacts? Give examples.
3. Differentiate strong and weak culture.
4. What is market-driven culture?
5. List the four I's of transformational leadership.
6. What is a culture audit?
7. Name Lewin's three leadership styles.

5-mark questions

1. Explain nature and significance of corporate culture.
2. Explain Schein's three levels with an iceberg diagram.
3. Describe hierarchical culture with merits and demerits.
4. Compare transformational and transactional leadership.
5. Explain Lewin's three-step model of change.
6. How do founders and selection sustain culture?

10-mark questions

1. Explain key elements of corporate culture (values, norms, rituals, symbols, language) with examples.
2. Discuss Cameron & Quinn's Competing Values Framework with a diagram; add Deal & Kennedy types.
3. Analyse the relationship between leadership styles and corporate culture; explain Schein's embedding mechanisms.
4. Explain transformational leadership and Kotter's 8-step model for culture change, with examples (Nadella, Tata).
5. What is a culture clash in mergers? Discuss with DaimlerChrysler and suggest remedies.